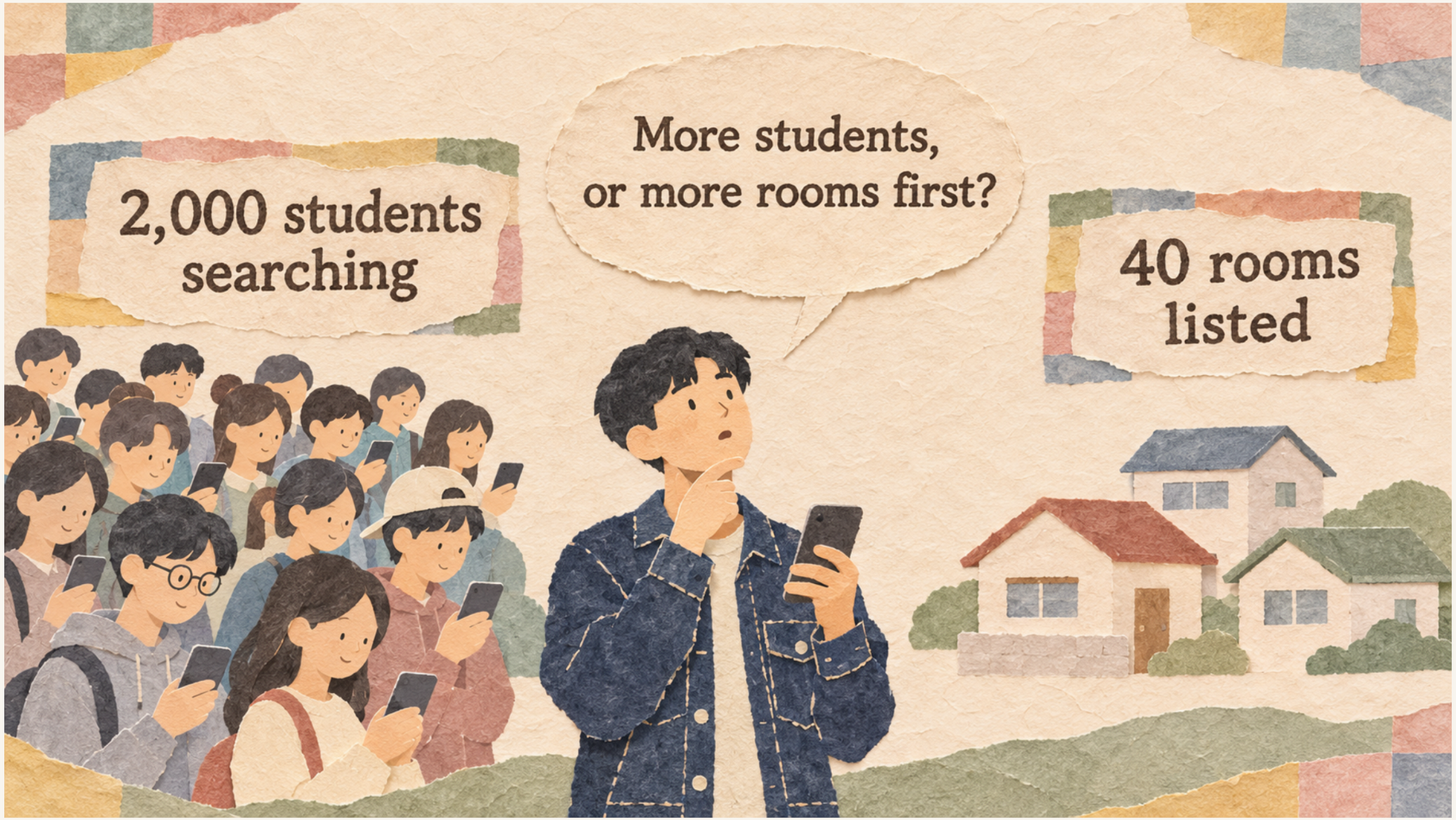
Session 1.3: The Two-Sided Market Strategy



RoomLink: 2,000 students, only 40 rooms

RoomLink is Kenji's app that connects students who need a room near campus with local landlords. Students use it for free; the landlord pays $150 when a room is rented. Most students found nothing and left.

ROOMLINK (THIS SEMESTER)	VALUE
Students searching for a room	**2,000**
Rooms listed / rented through RoomLink	**40 / 24 (60%)**
Students who found nothing and left	**1,200**
Landlords within 2 km of campus	**300**
Fee per room rented / money for two semesters	**$150 / $10,000**

What is the Two-Sided Market Strategy?

A platform that serves **two different groups who need each other**: students come for rooms, and landlords list rooms only where students look. Each side waits for the other: the **chicken-and-egg problem**. Solve it in order: win the side that is harder to get, give that side value even before the other side arrives, do the hard work yourself in one small area, and give both sides a reason to finish the deal on your platform.

Who should pay, and how much, is the topic of Session 2.2.

Two sides, cross-side effect, chicken and egg

Two-sided market

A platform serves two different groups who need each other.

Example: students (one side) and landlords (the other side).

Cross-side network effect

More users on one side make the platform more useful for the other side.

Example: more rooms make RoomLink more useful for students.

Chicken-and-egg problem

Each side waits for the other side to come first.

Example: no rooms, no students; no students, no rooms.

Harder side, seeding, match rate

Harder side

The side that is harder to win and that the other side comes for.

Example: rooms are scarce, students are many: landlords.

Seeding

Doing the work of one side yourself at the start.

Example: Kenji photographs rooms and writes the listings.

Match rate

Deals / listings (or searches) x 100.

Example: 24 rented / 40 listed = 60%.

Multi-homing and going around the platform

Multi-homing

Using several platforms at the same time.

Example: a landlord lists on RoomLink and with an agent.

Going around the platform

The two sides meet on the platform but finish the deal directly.

Example: they swap phone numbers and skip RoomLink.

Rule 1: Win the harder side first

Ask which side the other side comes for, and which is harder to get. More of the easy side does not help.



DO

Example

Kenji spends on landlords, because 2,000 students already search but only 40 rooms are listed.

AVOID

Common mistake

Buying ads for more students when there are almost no rooms. They find nothing and leave.

Rule 2: Give the first side value before the other arrives

The harder side will join if the platform helps them today, even with few users on the other side.



DO

Example

A free tool for leases, rent reminders, and repairs that landlords use for their current tenants.

AVOID

Common mistake

Asking landlords to list a room and wait. If no student calls soon, they forget the app.

Rule 3: Do the hard work yourself, in one small area

At the start, do what users will later do alone, in one small area so both sides meet quickly.



DO

Example

Kenji visits landlords within 1 km of campus, takes the photos, and writes the listings himself.

AVOID

Common mistake

Launching in the whole city at once. Rooms and students are spread so thin that few ever meet.

Rule 4: Give both sides a reason to finish the deal with you

If the platform only introduces people, they go around it. Add value that works only on the platform.



DO

Example

Leases signed on RoomLink protect the deposit, are checked, and get repair help in the app.

AVOID

Common mistake

Offering nothing after the introduction. Both sides swap phone numbers and skip the fee.

OpenTable

What happened

OpenTable started in San Francisco in 1998 to let diners book restaurant tables online. It first gave restaurants software to manage their own reservations and tables, which helped them even when few diners booked online. Diners book for free; restaurants pay. In 2014, Priceline bought OpenTable for about $2.6 billion.

Why it is good

- It won restaurants first, because diners come where restaurants are. **(Rule 1)**
- Its table software helped restaurants even with few online diners. **(Rule 2)**
- It started in one city before moving to others. **(Rule 3)**

GOOD EXAMPLE 2

DoorDash

What happened

In January 2013, four Stanford students started a food-delivery website for Palo Alto, called PaloAltoDelivery.com. They put local restaurant menus online and delivered the first orders themselves. By 2023, DoorDash had become the largest food-delivery company in the United States.

Why it is good

- The founders did the drivers' work themselves at the start. **(Rule 3)**
- One small town, so restaurants, eaters, and drivers met quickly. **(Rule 3)**
- Restaurants got new orders without doing anything new. **(Rule 2)**

BAD EXAMPLE 1

Homejoy

What happened

Homejoy connected people who wanted their home cleaned with cleaners. It attracted customers with very cheap first cleanings, but many did not book again at the normal price. Former employees said good cleaners and regular customers often made private arrangements. Homejoy also faced lawsuits about its workers, and it closed in July 2015.

Why it is bad

- After the first match, both sides had little reason to stay, so they went around it. **(Rule 4)**
- Cheap first offers brought customers who did not stay (Session 1.4).
- It expanded to many cities before each city worked well. **(Rule 3)**

BAD EXAMPLE 2

Google Helpouts

What happened

In November 2013, Google launched Helpouts, where experts gave live video help (cooking, guitar, computer help) for a fee. It covered many topics at once. In February 2015, Google said Helpouts had not grown as fast as expected, and it closed in April 2015.

Why it is bad

- Experts waited for customers and got little value while they waited. **(Rule 2)**
- Many topics at once: few experts and few users in each. **(Rule 3)**
- It did not first win the harder side in each topic. **(Rule 1)**

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
OpenTable	**Good**	Useful to restaurants first (Rules 1 and 2)
DoorDash	**Good**	Founders did the work in one town (Rule 3)
Homejoy	**Bad**	Both sides went around it (Rule 4)
Google Helpouts	**Bad**	Experts waited with no value (Rule 2)

Bring the harder side first, and keep both sides on the platform after the match.

Tool 1: Balance between the sides

USED IN EXERCISES 2 AND 3

Formula

Balance = users on the demand side / providers on the supply side

WHAT IT LOOKS LIKE

Example: a pet-sitting app

- 300 pet owners searching; 60 sitters.
- 300 / 60 = 5 owners per sitter.

Tool 2: Match rate

USED IN EXERCISES 2 AND 3

Formula

Match rate = deals / searches (or listings) x 100

WHAT IT LOOKS LIKE

Example

- 120 bookings from 300 pet owners searching.
- 120 / 300 x 100 = 40%.

Tool 3: Profit over several periods (from Session 1.1)

USED IN EXERCISE 3

Formula

Profit = extra revenue per period x number of periods - cost

WHAT IT LOOKS LIKE

Example

- A plan costs $3,000 and adds $1,000 a month.
- After 6 months: 6 x $1,000 - $3,000 = $3,000.

Tool 4: Trade-off and decision rule (from Session 1.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If fewer than 30 new rooms are listed in the first two months, we will change the plan."

Name the two sides

Six platforms:

- (a) A ride-hailing app.
- (b) A video game console.
- (c) A phone app store.
- (d) An online market for handmade goods.
- (e) A free newspaper.
- (f) A credit card.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Platform [letter]: side 1 = [group], side 2 = [group].
More [side 1] attracts more [side 2] because [reason].
Harder side to win first: [group], because [reason].

WORKED EXAMPLE: A HOTEL BOOKING WEBSITE

Side 1 = travelers, side 2 = hotels.
More hotels attract more travelers because travelers want many choices.
Harder side to win first: hotels, because travelers come only where many hotels are listed.

Which side does the other side come for?

PLATFORM	TWO SIDES	HARDER SIDE FIRST
(a) Ride-hailing	Riders, drivers	Drivers
(b) Game console	Players, game makers	Game makers
(c) App store	Phone users, developers	Developers
(d) Handmade market	Buyers, makers	Makers
(e) Free newspaper	Readers, advertisers	Readers
(f) Credit card	Shoppers, stores	Stores

Other answers can be strong if the reason is clear.

Which side is missing? PetSit

AREA	PET OWNERS SEARCHING	SITTERS LISTED	BOOKINGS
North	**600**	**10**	**6**
Center	**300**	**60**	**120**
South	**100**	**80**	**20**

- **Step 1:** For each area, balance = owners / sitters, and match rate = bookings / owners x 100.
- **Step 2:** Which side is missing in each area?
- **Step 3:** Choose one action for each area, and the rule it follows.

Use the template

TEMPLATE

[Area]: [number] owners per sitter, match rate [number]%.
The missing side is [owners / sitters / none].
Action: [one action] (Rule [number]).

WORKED EXAMPLE: BOOKSWAP, CAMPUS 1

500 buyers searching, 20 sellers, 10 sales.
Campus 1: 25 buyers per seller, match rate 2%.
The missing side is sellers.
Action: ask final-year students to list the books they no longer need,
and write the listings for them (Rule 3).

Each area is missing a different side

AREA	OWNERS PER SITTER	MATCH RATE	MISSING SIDE	ONE ACTION
North	**60**	**1%**	Sitters	Help dorm students make sitter profiles (Rule 3)
Center	**5**	**40%**	None	Payment protection (Rule 4)
South	**1.25**	**20%**	Owners	Reach owners at pet shops and vets (Rule 1)

The same platform can be missing a different side in each area. Look at each area separately.

Students or landlords first? RoomLink, next 2 semesters

2,000 students / 40 rooms listed, 24 rented / $150 fee per room rented / $10,000 to spend

EASY SIDE

Option A: More students

$10,000 on student ads: 2,000 more students search.

Rooms do not change, but **70%** of them rent instead of 60%.

HARDER SIDE

Option B: More landlords

$4,000 for a free lease-and-rent tool, plus **$3,000** per semester for a helper who visits landlords and writes listings.

Expect **100** more rooms each semester; 60% rent.

Calculate before you decide (Tools 1, 2, and 3)

- Balance now = 2,000 / 40 = _____ students per room
- Option A: rooms rented = 40 x 70% = _____; extra = _____; extra fees over 2 semesters = extra x $150 x 2 = $_____; profit = $_____
- Option B: rooms rented = 140 x 60% = _____; extra = _____; extra fees = $_____; profit = $_____
- Option B with only 50 new rooms each semester: profit = $_____
- New rooms per semester Option B needs to pay back $10,000: new rooms x 60% x $150 x 2 = $10,000, so _____

Write a 3-bullet memo to Kenji (Tool 4)

TEMPLATE

To: [founder name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next two months we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

PetSit: sitters first in North?

To: Lina Haddad, founder, PetSit
1. Decision and evidence: We should spend this month's budget on sitters in North, not on owners, because North has 60 owners per sitter and a match rate of only 1% (Rule 1).
2. Biggest risk and trade-off: The weakest point is that students may not want to pet-sit during exams. We give up growth in owner numbers to make the owners we already have find a sitter.
3. Next step and decision rule: In the next two months we will help students in three dorms create sitter profiles and measure the match rate in North. We will change this decision if the match rate is still below 10% after two months.

More students cannot rent rooms that do not exist

- Balance now = **50** students per room: rooms are the harder side.
- Option A: 28 rooms rented; extra 4; $1,200 - $10,000 = **-$8,800**.
- Option B: 84 rooms rented; extra 60; $18,000 - $10,000 = **$8,000**.
- Option B with only 50 new rooms: 54 rented; extra 30; $9,000 - $10,000 = **-$1,000**.
- Payback line: $10,000 / $180 = about **56** new rooms per semester.

What a strong memo looks like

- Chooses Option B (Rules 1, 2, and 3), but only if the helper adds at least about 56 rooms per semester.
- Decision rule: "If fewer than 30 new rooms are listed in the first two months, we will change the plan."
- Adds a reason to sign the lease on RoomLink, such as deposit protection (Rule 4), so new landlords do not go around the app.

SUCCESS CHECK

Can you do these three things?

01

Explain a two-sided market, the chicken-and-egg problem, and the harder side.

02

Measure balance and match rate to find the missing side.

03

Compare growing one side with the other and write a decision rule.

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